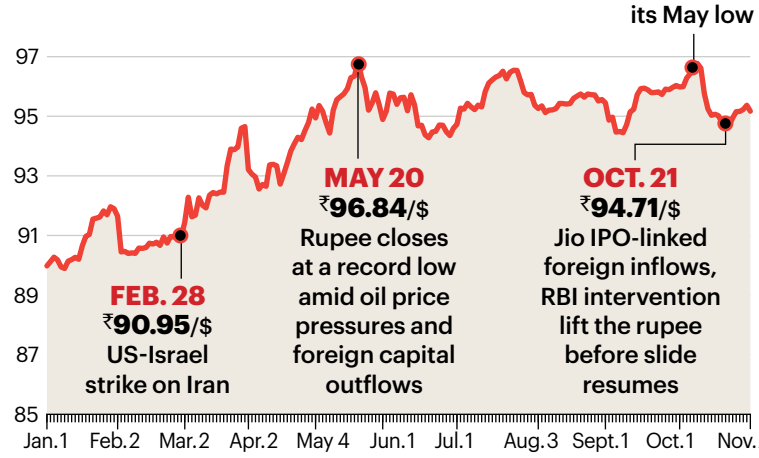
CURRENCY IN CRISIS

Why the rupee is under pressure and what its slide means for the economy



↘ Foreign outflows: **Foreign portfolio investors have been pulling money out of Indian equities since late 2024, weakening dollar inflows and putting pressure on the rupee**

↘ Oil shock: **The US attack on Iran pushed crude prices higher. With 85% of its crude imported, India faces a larger import bill and greater inflationary pressure**

↘ US rate pressure **Higher Fed rates are drawing capital towards American assets, weakening emerging-market currencies and raising India's external debt-servicing costs**

For Indian businesses, the psychological threshold of Rs 100 to the dollar has already been breached. On May 20, when the spot rupee touched a record intraday low of nearly 97, the one-year forward rate crossed 100 for the first time. A forward contract lets businesses lock in a dollar exchange rate for future payments, protecting them against rupee depreciation. Forward rates exceed spot rates partly because Indian interest rates are higher than US rates, but also because of demand for dollar hedging and market liquidity. The one-year forward premium rose from an average of 2.9 per cent between January and August to 4.57 per cent on October 30. Consequently, although the spot rupee recovered to around Rs 95, the one-year forward rate stood at Rs 99.2 on November 2.

THE SLIDE AND ITS RISKS

Pressure pre-dated the war. Foreign portfolio investors put $18.4 billion into Indian stocks and bonds in 2024 but turned sellers that October, citing US tariffs, high valuations and increases in capital gains tax and securities transaction tax (STT). Within two years, the rupee weakened from 83 to 91.

The US-Israel strikes on Iran on February 28 turned the slide into a crisis. Brent crossed $100 a barrel, while foreign investors withdrew a record $12.7 billion from Indian equities in March. Net outflows reached $21.4 billion between January and September. For a country that imports 85 per cent of its crude, the twin pressures of higher oil prices and capital flight threaten to widen the current account deficit—the gap between the foreign exchange India earns from exports of goods and services, and what it spends on imports and other payments to the rest of the world.

The US monetary policy has added to the strain. The Federal Reserve raised interest rates on September 16, its first increase in over three years. When it held rates on October 28, two members voted for another increase. Higher US rates draw capital towards dollar assets.

Nor has the weaker rupee improved trade. Between April and August, imports grew faster than exports, widening the trade deficit to $147.1 billion. Further depreciation would make buying crude oil, servicing India's external debt of over $700 billion, and importing components for sectors such as electronics, pharmaceuticals, automobiles and renewable energy more expensive. At $110 a barrel, crude would cost around Rs 11,000 if the rupee touches 100 to the dollar—nearly double its cost 18 months ago, and a significant psychological threshold for the rupee. For a family sending a child to the US for higher studies, an annual university bill of $50,000 would rise from Rs 41.5 lakh just two years ago to Rs 50 lakh.

Inflation is another concern. Retail inflation stood at 4.8 per cent in August; further rupee depreciation could push it towards the RBI's 6 per cent upper tolerance limit, forcing rate hikes that could slow growth without easing oil prices. In 2013, an 11 per cent fall in the rupee pushed retail inflation into double digits.

A SERIES OF INTERVENTIONS

India's defence of the rupee has echoes of 1991, when the Gulf war sent oil prices soaring and non-resident Indians (NRIs) withdrew deposits. By mid-year, reserves covered barely two weeks of imports. India raised around $600 million by selling or pledging 67 tonnes of gold abroad; the rupee was then devalued by about a fifth. During the 2008-09 global financial crisis, the RBI sold $34.9 billion. In 2013, it mobilised around $34 billion through currency swap windows during the 'taper tantrum', when signals that the Fed would scale back its bond-buying programme triggered capital outflows from emerging markets.

The current defence dwarfs these interventions. The RBI sold a record $53 billion in FY26 and another $24.8 billion this March-May. A special deposit scheme launched for NRIs in June brought in $133 billion by August-end. In October, the central bank raised the repo rate by 25 basis points to 5.5 per cent, seeking to support the rupee by making domestic assets more attractive